PARTNERS of the AMERICAS
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Policy & Procedure

FIELD OFFICE, SUB-RECIPIENT & SUB-CONTRACTOR ACCRUAL

Effective: March 31,2021

Approved by: 03 / 31 / 2021

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1. Purpose

The purpose of this policy & procedure is to expedite the processing of field office, subrecipient and sub-contractor's monthly expense reports (hereinafter referred to as F.O and Subs reports). Implementation of this policy/procedure will decrease the delay between the closure and submission by Program Units of their respective F.O. and Subs reports at the end of each month and change the due date for submission to Finance of those reports from the 15th of the month to the 10th of the month. This change will streamline the F.O and Subs reporting process and result in more efficient, timely monthly financial reporting to Program Units and POA Management.

2. Policy: Field Office, Subrecipient and Sub-contractor Accruals

Monthly F.O and Subs expense reports for the previous month are due to Finance by the 10th of the following month. In the event a Program Unit has not received a F.O or Subs monthly expense report by the 10th of the month, or the report that has been received requires additional correction, verification or additional review, the Program Unit will report the expenses of the F.O or Subs as an accrual report by the 10th of the month. The accrued expenses should be based on accurate estimates of the of F.O. and Subs monthly expenses. If the 10th of the month falls on a weekend or holiday, the accrual reports are due the following business day. Finance will record these accrued expenses in the financial records during the current monthly period. Please note that F.O and Subs reimbursement requests are processed based on *actual expenses and not on accrued expenses.*

The collection, review, approval, and submission of actual F.O and Subs expense reports remains the responsibility of the Program Unit. Accrued expenses should not remain on the financial records beyond the next monthly financial reporting period. If a Program Unit has submitted an accrual for the previous month, the approved actual expense report for F.O and Subs is due by the 20th of the current month. Following receipt of the approved expense report from the Program Unit, the accrued amount will be reversed in full and the actual expense will be recorded in the current period financial records.

3. Scope

This policy applies to all Partners of the Americas' employees who prepare, review and/or approve Field Office, Subrecipient or Sub-contractor expense reports and POA Finance staff.

4. Procedure

1. Field Office, Sub-recipient and Sub-contractor submit expense reports to Program Units by the 7th of each month.
2. If a Program Unit either does not receive the F.O or Sub report by the 10th of the month, or receives a report that requires correction, verification or further review before

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approval, the Program Unit submits an accrual to Finance by the 10th of the month, using template "F.O and Subs Accrual Coversheet" in PandaDoc along with the supporting documents. Note that the accrual amount should be based on accurate estimated expenses.

3. Finance records the accrued expense for the current month reporting period.
4. Program Unit sends the final approved expense report to Finance (FOandSUBReport@partners.net) by the 20th of each month.
5. Finance records the actual expense and records an entry to reverse the prior period accrual during the current month reporting period.
6. Finance will distribute reports to management and program teams by 23rd after closing the previous month. Note that this does not apply to the distribution of December report, as F&A will only record final expense reports, not accruals for December closure.

5. Relevant Resources

- Field Office Manual
- Supplemental Field Office Manuals
- FY2020 Field Office and Subs Expense Reporting Calendar

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Signature Certificate

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